

have been. I think the government has done a very good job of trying to secure fuel supplies.

The second was to ensure that those most in need should not be impacted. That was done by absorbing some of the pricing shocks, either through the government's or oil marketing companies' balance sheets. So, we didn't see the pinch of inflation immediately. (Editor's note: India raised petrol and diesel prices by ₹3 per litre on May 15.)

Third, there have been measures for sectors that have been impacted the most, like exports, micro, small and medium enterprises (MSMEs).

Till now, those industries that are very dependent on inputs from the affected areas have been impacted a bit. Fertiliser producers are among them. But, by and large, we haven't seen any significant impact on domestic consumption so far.

If you talk to most companies, they would be very cautious right now because they feel if this continues for longer and as strategic (crude oil) reserves deplete, there could be a jump in crude prices. What happens in the future will really depend on how soon the Strait of Hormuz opens. For India, what we need to look at is the currency, the current account deficit, and how that impacts imports and exports.

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Q: Are there any sectors that require government support?

A: In terms of short-term responses, most of the requests have been addressed. Yes, there are some sectors, particularly MSMEs and logistics, that have been hit. Some other sectors like airlines are also asking for relief.

The government has to manage the fiscal balance. So, while it has provided massive relief in one area, it is also waiting and watching to see how long the crisis lasts. They don't want to expose the fisc beyond a point because it could come back and hurt us as interest costs and other prices rise.

The real ask from industry has been how do we address the issue of longer-term reforms. I would say the area that really needs to be looked at is non-merchandise imports, which grew by almost 35% last year. This is not sustainable.

To be a strong \$10 trillion economy, we will have to start focusing far more on manufacturing to make India really Aatmanirbhar.

The strategy for that must be product by product. In coordination with the Department for Promotion of Industry and Internal Trade, CII put together a list of 70-80 items where we have manufacturing poten-



“There will be enough businesses, multi-generational or first-generation, that will make the most of the opportunities on offer in India”